



National
Qualifications
2019

2019 Business Management

National 5

Finalised Marking Instructions

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These marking instructions have been prepared by examination teams for use by SQA appointed markers when marking external course assessments.

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General marking principles for National 5 Business Management

This information is provided to help you understand the general principles you must apply when marking candidate responses to questions in this paper. These principles must be read in conjunction with the detailed marking instructions, which identify the key features required in candidate responses.

- (a) Marks for each candidate response must **always** be assigned in line with these general marking principles and the detailed marking instructions for this assessment.
- (b) Marking should always be positive. This means that, for each candidate response, marks are accumulated for the demonstration of relevant skills, knowledge and understanding: they are not deducted from a maximum on the basis of errors or omissions.
- (c) If a specific candidate response does not seem to be covered by either the principles or detailed marking instructions, and you are uncertain how to assess it, you must seek guidance from your team leader.

- (d) i. Questions that ask candidates to Describe...
Candidates must make a number of relevant, factual points up to the total mark allocation for the question. These should be key points. The points do not need to be in any particular order. Candidates may provide a number of straightforward points or a smaller number of developed points, or a combination of these.

Up to the total mark allocation for this question

- **1 mark** should be given for each accurate relevant point of knowledge
- a second mark could be given for any point that is developed from the point of knowledge.

- ii. Questions that ask candidates to Explain...
Candidates must make a number of points that relate cause and effect and/or make the relationships between things clear, for example by showing connections between a process/situation. These should be key reasons and may include theoretical concepts. There is no need to prioritise the reasons.

Candidates may provide a number of straightforward reasons or a smaller number of developed reasons, or a combination of these.

Up to the total mark allocation for this question

- **1 mark** should be given for each accurate relevant point of reason
- a second mark could be given for any other point that is developed from the same reason.

- iii. Questions that ask candidates to Compare...
Candidates must demonstrate a true comparison in order to gain any mark. Both sides of the point must be clear but need not be linked. Candidates can write several points regarding the first comparison item followed by several points on the second and the marker match the points using codes (for example, a, b, c)

Up to the total mark allocation for this question

- **1 mark** should be given for each compared point.

Marking instructions for each question

Question				ected response	Max mark	Additional guidance
1.	(a)	(i)	Responses should include • Finlay/owner/entrepreneur • employees • customers/retailers • suppliers • delivery company/Rail • local community • Young Scot	ur/shareholders Mail	2	Candidates must identify 2 stakeholders from the case study to gain full marks. Award 1 mark per identified stakeholder. Do not accept any other response.
		(ii)	Responses could include • Finlay/owner/entrepreneur • level of profit • opportunity to see a return Employees • good rate of pay • good working conditions • job security • opportunities for promotion Customers/retailers • good quality products • value for money Suppliers/delivery company • continued orders • paying on time Local community • provision of jobs • environmental considerations Young Scot • image of business/F	/shareholders vestment on y ion	3	Candidates must outline the interests of both stakeholders identified at (a)(i). Award 1 mark for each valid outline. Up to 2 marks may be awarded for any one stakeholder. Accept consequentiality from (a)(i). Accept any other suitable response.

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Question				ected response	Max mark	Additional guidance
	(c)	(i)	Responses could include - employees/staff (HR) - owner (Finlay)/management - finance - technology	HR)	2	Candidates must identify 2 internal factors from the case study to gain full marks. Award 1 mark for each valid identification.
		(ii)	Responses could include Employees/staff (HR) - training young people produced Owner (Finlay)/management - if Finlay has the skills expansion is more likely Finance - a lack of finance - not enough money to carry out Technology - if technology breaks down - means Chocolates of Glenshiel are unable to accept orders	ill mean a better quality product is R) uired to be an entrepreneur - the o be successful Chocolates of Glenshiel not having ut its expansion plans n - means Chocolates of Glenshiel are orders	2	Candidates must explain both internal factors to gain full marks. Award 1 mark for each valid explanation. Accept any other suitable response.

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Question				ected response	Max mark	Additional guidance
	(d)	(i)	Responses could include • can attract candidates with new ideas • candidates will have different skills/qualities/experience/qualifications • a wider pool of people to choose from • avoids the need to find the role that appointing an internal candidate would make • external candidate recruitment bringing contacts with them to the business		3	Award 1 mark for each justification. Award 1 mark for each valid development. Accept any other suitable response.
		(ii)	Responses could include • recruitment website • company website • social media • newspaper/national press • recruitment agency • job centre		2	Candidates must identify 2 methods of external recruitment to gain full marks. Award 1 mark per identified method. Maximum of 1 mark for use of generic terms for example Internet, website. Accept any other suitable response.
	(e)		Responses should include • using good quality raw materials - this leads to a higher quality chocolate - o fewer complaints - o higher price can be charged • using local supplier - o cost of delivery reduced - o reduces carbon footprint		3	Candidates must explain at least 2 factors to gain full marks. Award 1 mark for each explanation. Up to 2 marks may be awarded for any one factor. Responses must come from Exhibit 1. Accept any other suitable response.

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Question							
2.	(a)		Responses could include • children/infants/babies • parents/expectant mothers • ethical consumers • low income households • Stirling/Glasgow area				
	(b)		Responses could include <table><tr><td>Private sector</td></tr><tr><td>owned by private individuals/sole trader/partners/shareholders</td></tr><tr><td>funded by owners capital/share issue</td></tr><tr><td>controlled by sole trader/partners/shareholders/Board of Directors (BoD)</td></tr></table>	Private sector	owned by private individuals/sole trader/partners/shareholders	funded by owners capital/share issue	controlled by sole trader/partners/shareholders/Board of Directors (BoD)
Private sector							
owned by private individuals/sole trader/partners/shareholders							
funded by owners capital/share issue							
controlled by sole trader/partners/shareholders/Board of Directors (BoD)							

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Selected response	Max mark	Additional guidance												
teenagers parents/families	3	Candidates must identify 3 targeted markets from the case study to gain full marks. Award 1 mark for each valid identified target market. Watch for repetition.												
<table border="1"> <thead> <tr> <th></th><th>whereas</th><th>Public sector</th></tr> </thead> <tbody> <tr> <td>owned by private individuals/</td><td></td><td>owned by the government</td></tr> <tr> <td>funded by owners capital/share issue</td><td></td><td>funded by taxes</td></tr> <tr> <td>controlled by sole trader/partners/shareholders/Board of Directors (BoD)</td><td></td><td>controlled by government ministers/councillors</td></tr> </tbody> </table>		whereas	Public sector	owned by private individuals/		owned by the government	funded by owners capital/share issue		funded by taxes	controlled by sole trader/partners/shareholders/Board of Directors (BoD)		controlled by government ministers/councillors	3	Candidates must give 3 points of distinction to gain full marks. Award 1 mark for each valid distinction. Do not award mark if incorrectly labelled. Accept any other suitable response.
	whereas	Public sector												
owned by private individuals/		owned by the government												
funded by owners capital/share issue		funded by taxes												
controlled by sole trader/partners/shareholders/Board of Directors (BoD)		controlled by government ministers/councillors												

Question			ected response	Max mark	Additional guidance
	(c)		Responses could include • large premises – me - o good for display - o space for comm • car parking – makes - o makes it easier • cost of premises – w • being surrounded by support/networking • local transport links • financial support fro the business to oper	5	Candidates must explain at least 2 factors to gain full marks. Award 1 mark for each valid explanation. Up to 4 marks may be awarded for any one factor. Factors can be taken from the case study or from candidate's subject knowledge. Accept any other suitable response.
	(d)		Responses could include • bank/STEP loan – m with interest/instalr - o in instalments (• mortgage – money b - o paid over a long - o property is secu • government/STEP gr government/STEP th - o must meet crite • overdraft – taking m present in your acco • donations – gift of m • retained profit – pro • hire purchase – buyi instalments - o asset is not own	4	Candidates must describe at least 2 sources of finance to gain full marks. Award 1 mark for each valid description. Up to 3 marks may be awarded for any one source. Accept any other suitable response.

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Question			ected response	Max mark	Additional guidance
	(e)		• donated items are re • community hub prov • creates volunteering • grants and financial • support low income • positive reaction in	2	Candidates must describe at least 2 benefits to gain full marks. Award 1 mark for each valid description. Benefits must be relevant to the case study. Accept any other suitable response.
	(f)		• selling good quality - o satisfied custom • customers tell their - o this will result i • customers get value • not left with unsold - o which would ha • reduce customer co	3	Award 1 mark for each valid justification. Do not accept repetition of justification. Accept any other suitable response.

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Question			ected response	Max mark	Additional guidance
3.	(a)	• recruiting suitable staff • provide staff training - o so they are knowledgeable and can answer customer queries • providing prompt service • keeping a customer's money • giving customers value for money • getting feedback from customers • operating a customer policy • giving an after sales service - o contacting the customer a few days after they have received a product to see everything is working as expected • providing quick response to customer complaints • employing extra staff to cover busy periods • having a returns policy	• recruiting suitable staff • provide staff training - o so they are knowledgeable and can answer customer queries • providing prompt service • keeping a customer's money • giving customers value for money • getting feedback from customers • operating a customer policy • giving an after sales service - o contacting the customer a few days after they have received a product to see everything is working as expected • providing quick response to customer complaints • employing extra staff to cover busy periods • having a returns policy	4	Candidates must outline at least 2 ways to gain full marks. Award 1 mark for each valid outlined point. Up to 3 marks may be awarded for any one way. Accept any other suitable response.
	(b)	• a single use good/can • a good that doesn't last long	• a single use good/can • a good that doesn't last long	1	Award 1 mark for a valid definition. Accept any other suitable response.
	(c)	• make best use of tax • provide a high quality service to others • raise awareness of issues • ensuring finances are kept within budget • be socially responsible • meet governmental requirements	• make best use of tax • provide a high quality service to others • raise awareness of issues • ensuring finances are kept within budget • be socially responsible • meet governmental requirements	2	Candidates must outline 2 objectives to gain full marks. Award 1 mark for each outlined objective. Accept examples - NHS reduce waiting times. Watch for repetition. Accept any other suitable response.

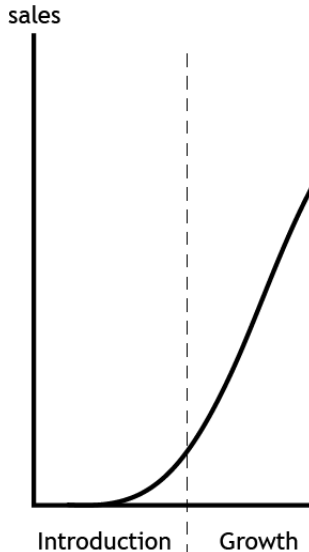
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Question			ected response	Max mark	Additional guidance
	(d)	Responses could include Political - a change in the National Minimum Wage Social - consumer tastes and preferences may change - may have to update its product range Technological - if new technology is introduced into the organisation - it may reduce costs	Minimum Wage - decrease in profits Consumer tastes and preferences may change - may have to update its product range New technology introduced into the organisation - it may reduce costs	3	Candidates must explain all 3 external factors to gain full marks. Award 1 mark for each valid explanation. Accept any other suitable response.

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Question				ected response	Max mark	Additional guidance
4.	(a)		Responses could include - ensures that equipment is safe to use - provide protective clothing - safety training must be provided for employees - details how materials must be stored in a safe manner - organisations must have health and safety representatives - employees must take reasonable care of themselves and other workers - employees must follow H&S policy - employees must report safety issues		4	Candidates must outline 4 features to gain full marks. Award 1 mark for each valid outline. Accept any other suitable response.
	(b)		Responses could include - staff become more productive - this will allow the organisation to meet demand more easily - increased staff competence - this could result in higher quality work - increased staff motivation - could make staff more loyal - could reduce staff turnover - less errors/wastage - save the organisation money in the long run - staff feel valued - enhanced reputation - attracting potential employees - prepares staff for future promotion		4	Candidates must justify at least 2 reasons to gain full marks. Award 1 mark for any valid justification. Up to 3 marks may be awarded for justifying any one reason. Accept any other suitable response.

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Question			ected response	Max mark	Additional guidance
	(c)		Responses could include - flexi-time/flexible v - part-time working - homeworking - teleworking - job share - condensed hours	2	Candidates must identify 2 working practices to gain full marks. Award 1 mark for each valid identification. Accept any other suitable response.
5.	(a)	(i)		3	Award 1 mark for an appropriate curved line. Award 1 mark for labelling both axis. Award 1 mark for labelling at least 3 stages correctly. Credit Research and Development (R & D) and Saturation.
		(ii)	introduction/research and development	1	Award 1 mark for correct identification.

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Question				ected response	Max mark	Additional guidance														
	(b)		Responses could include • cost of raw material price may be high • competitors' prices may lose sales • price customers are something that they - o if a country is e customers may • image of the product the price will be • product is sold in an charged • need to have a requ invest in the business	Looking for more resources? Visit https://sga.myl - Scotland's #		depending of the quality required the anisation should match competitors or it g to pay - consumers will only pay for k is value for money encing difficult economic times then e willing to pay high prices e more exclusive the image the higher market shop - a higher price can be profit level - this will enable you to	3	Candidates must explain at least 2 factors to gain full marks. Award 1 mark for each valid explanation. Up to 2 marks may be awarded for any one factor. Accept any other suitable response.												
	(c)		Responses could include <table><tr><th>Desk</th></tr><tr><td>secondary information</td></tr><tr><td>research can be found quicker as it exists</td></tr><tr><td>research may be vague or collected for another purpose</td></tr><tr><td>is historic as it already exists</td></tr><tr><td>research is available to everyone</td></tr><tr><td>both may contain bias</td></tr></table>	Desk	secondary information	research can be found quicker as it exists	research may be vague or collected for another purpose	is historic as it already exists	research is available to everyone	both may contain bias		<table><tr><th>Field</th></tr><tr><td>primary information</td></tr><tr><td>research can be time consuming to collect</td></tr><tr><td>research can be specific</td></tr><tr><td>is up to date</td></tr><tr><td>research is internal to the business</td></tr></table>	Field	primary information	research can be time consuming to collect	research can be specific	is up to date	research is internal to the business	3	Candidates must make 3 comparisons to gain full marks. Award 1 mark for each valid comparison. Cheaper/time consuming/up to date must be qualified on one side of the comparison. Accept any other suitable response.
Desk																				
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is up to date																				
research is internal to the business																				

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Question			ected response	Max mark	Additional guidance
6.	(a)	Responses should include - A = 100,000 - B = Gross profit - C = Profit for the year - D = 50,000.		4	Candidates must identify all 4 entries to gain full marks. Award 1 mark for each valid identification. Do not accept Net Profit.
	(b)	Responses could include - can be used as a target plan - control spending - ensure overspend - highlights any period to plan better use of - highlights any period to arrange a source of - highlights any increase in expenses over a period of time - this means the business is able to take corrective action - promotes better decision making - this means the business is able to plan future direction of the business	this means the business may be able to does not occur surplus - this means the business is able to use available cash shortfall - this means the business is able to arrange finance increase in expenses over a period of time - this means the business is able to take corrective action decision making - this means the business is able to plan future direction of the business	3	Award 1 mark for each valid explanation. Award 1 mark for each valid development point. Accept any suitable response.
	(c)	Responses could include - use of formulas - automatic calculations - what if scenarios can be used - conditional formulae - this can highlight areas of concern - cells can be replicated - charts can be created - to show trends - linked worksheets can be used - templates can be created	reduces human error can be carried out can be used negative balance can be used	3	Candidates must describe at least 2 advantages to gain full marks. Award 1 mark for each valid description. Up to 2 marks may be awarded for any one advantage. ‘Automatic calculations’ must be qualified. Accept any suitable response.

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Question			ected response	Max mark	Additional guidance
7.	(a)	Responses could include Advantages • large amounts can be produced • economies of scale • batches can be customised to meet the customer's requirements • automated processes • less human error • less skilled employees required • save labour costs Disadvantages • expensive initial outlay for equipment • careful production planning required • equipment needs to be cleaned between batches • equipment breaks down • slow/stops production • mistakes may lead to scrapping of whole batch • this can lead to losses of profits		4	Candidates must discuss at least one advantage and one disadvantage to gain full marks. Award 1 mark for any valid discussed point. Award 1 mark for each valid development. Up to 3 marks may be awarded for any one advantage/disadvantage. Accept any other suitable response.
	(b)	Responses could include • it will mean too much stock which can lead to increased costs • inventory can go out of date/perishable • costs of warehousing • prices may need to be reduced to sell inventory	which is tied up in inventory cash flow problems out of fashion/become obsolete items if/insurance will be high reduced to sell inventory	3	Candidates must describe at least 2 consequences to gain full marks. Award 1 mark for each valid description. Up to 2 marks may be awarded for any one consequence. Maximum of 1 mark for increase in costs. Accept any suitable response.

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Question			ected response	Max mark	Additional guidance
	(c)		• improves the image • may be cheaper to p • can give a competit • limits the items end • may help the organi	3	Candidates must outline at least 2 benefits to gain full marks. Award 1 mark for any valid outline. Up to 2 marks may be awarded for any one benefit. Accept any other suitable response.

[END OF MARKING INSTRUCTIONS]